Q3 2022 Earnings

29 November 2022

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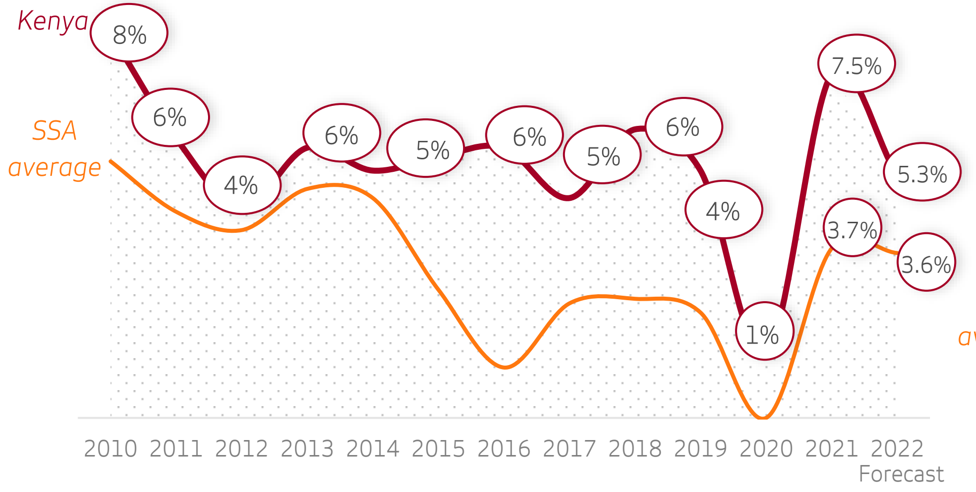
1

Business Overview

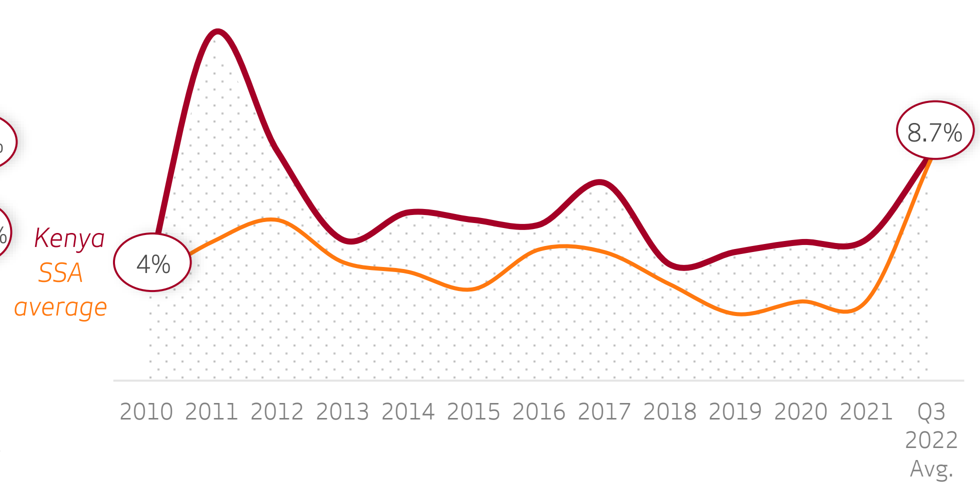
Yusuf Omari –
Interim Chief Executive Officer

Operating Environment: We are navigating a complex operating environment with addressable risks and opportunities

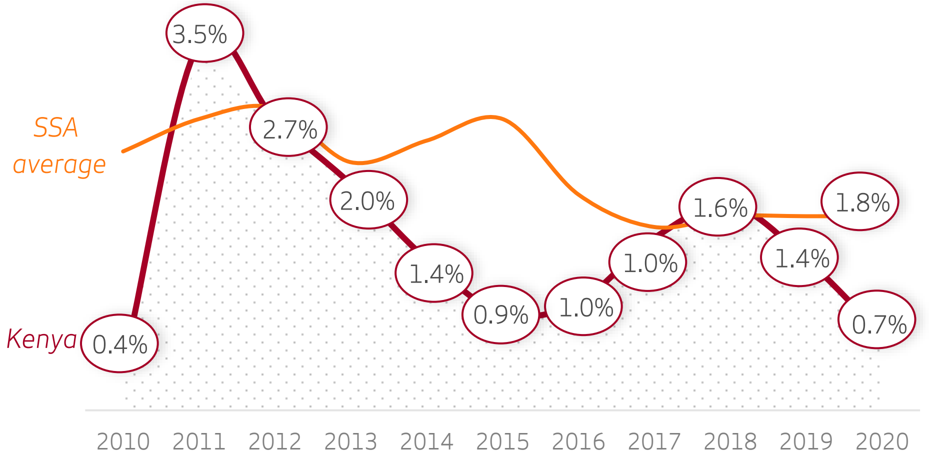
Kenya's GDP growing above SSA average



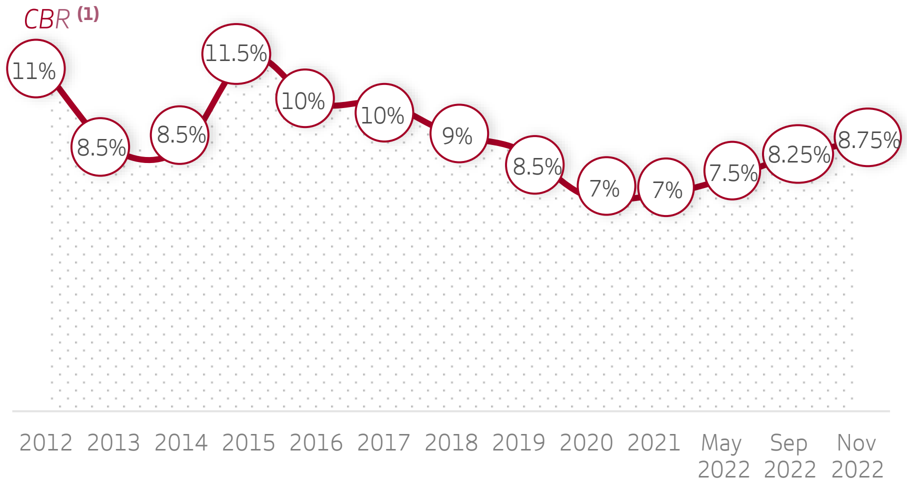
Observed inflation pressure in the third quarter of 2022



Subdued Foreign Direct Investments: Net inflows (% of GDP)



Interest rates edging up to contain inflation pressure



Head winds

1. Muted Foreign Direct Investments
2. Inflation Pressure
3. Global Geopolitical Risks

Tail winds

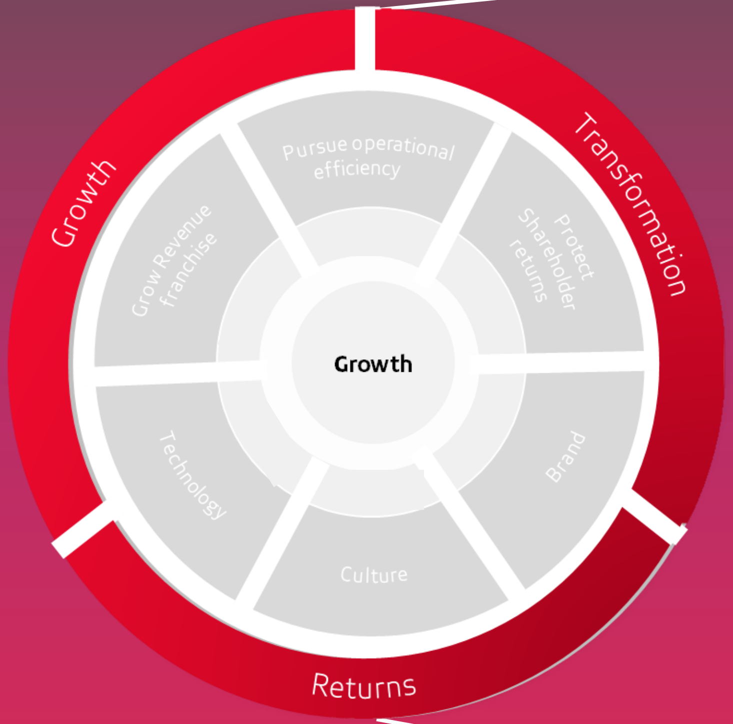
1. Private Sector Credit Growth
2. Supply Chain Stabilization
3. Business confidence (Positive PMI readings)
4. Repricing Cycle

Sources: Central Bank of Kenya, Government of Kenya Treasury, IMF, World Bank

Notes
1. CBR – Central Bank Rate

We are coming to the end of the current Growth, Transformation and Returns (GTR[1]) strategy horizon 2018 - 2023

Our Growth, Transformation and Returns strategy



Purpose

Our purpose is to 'bring your possibility to life', as we believe in the actions of people who always find a way to get things done. We are obsessed with customers, with creating opportunities for them to make their possibilities real and to support them every step of the way.

Strategy Pillars

Growth: Unlocking growth opportunities for all our stakeholders while delivering financial growth goals in line with our commercial strategy

Transformation: Investing and modernizing our business for efficiency and customer experience

Returns: Maximizing returns for all our stakeholders by ensuring our financial capital is optimized

Strategy Enablers

Technology: A Digitally Powered Business

Culture: A Leading Employee Value Proposition

Brand: A dynamic, accessible and aspirational brand

Notes
1. GTR – Growth Transformation and Returns Strategy

Strategy Execution Highlights: We are delivering on all our Growth, Transformation and Returns strategic commitments as at Q3 2022

On Growth

- *Sustained revenue growth of 22%, customer assets growth of 26% and total Assets growth of 17%*

Resulting into growth above industry growth rate

On Transformation

- *Delivered Cost to Income Ratio of 40% and Positive JAWs*

Driven by transformational investments

On Returns

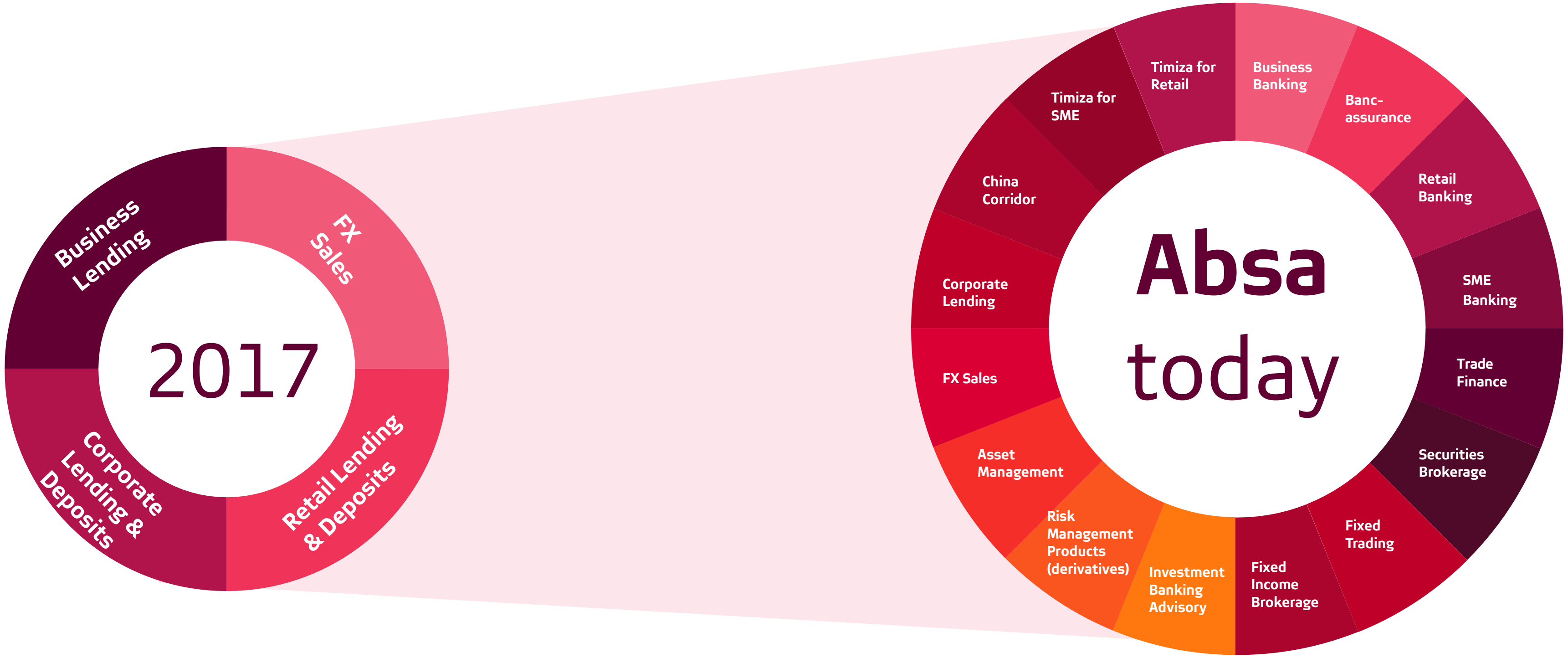
- *Delivered Return on Equity of 24%, well above our cost of equity*

Resulting into Absa stock outperforming the NSE[1] and listed banks

Notes

1. Stock price performance measured from commencement of our strategy (1st January 2018)

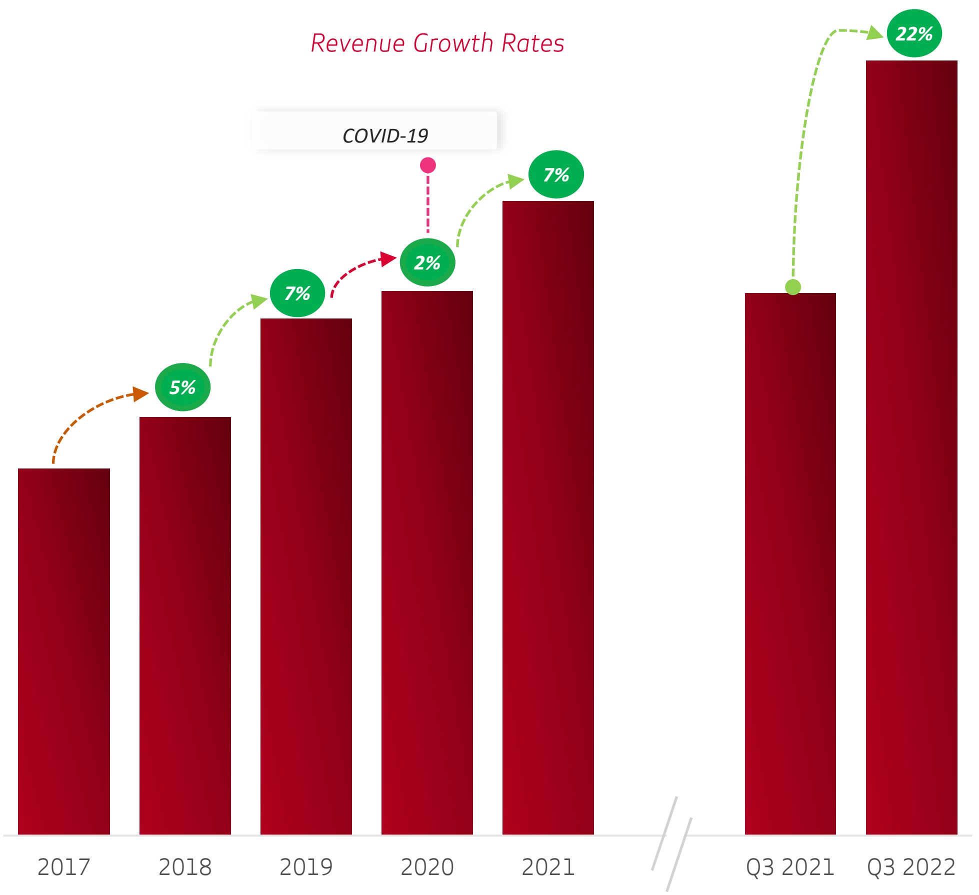
On Growth: Over the strategic period, our business has evolved towards a full financial services group driven by a broader proposition set



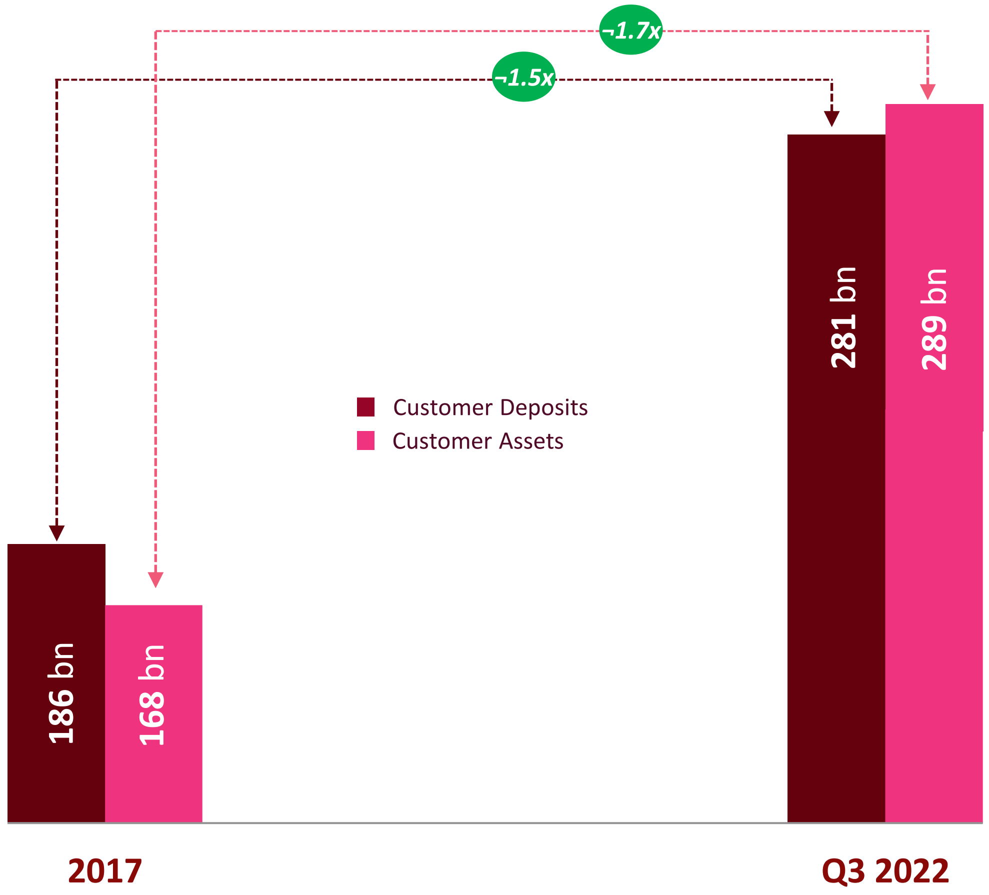
On Growth: The broader proposition set has driven significant revenue and balance sheet growth

(In Kes billions unless stated otherwise)

We are accelerating revenue growth momentum

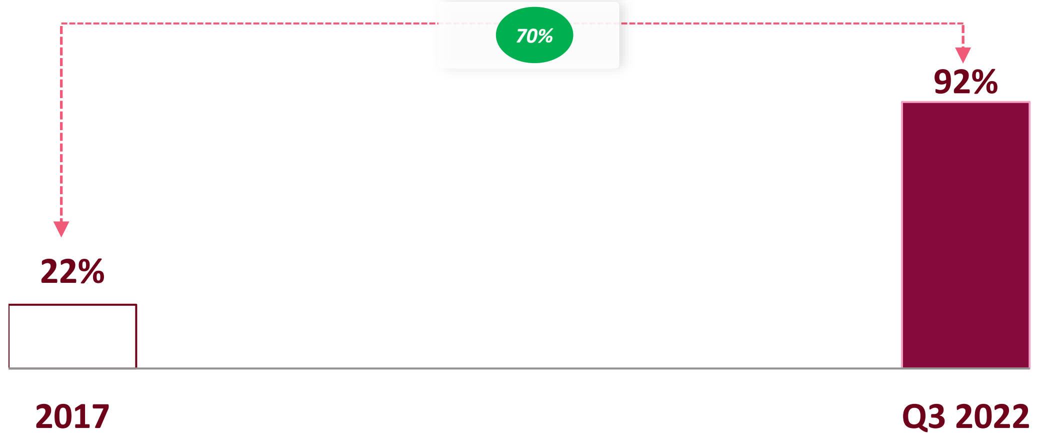


There has been significant growth in our balance sheet since 2017

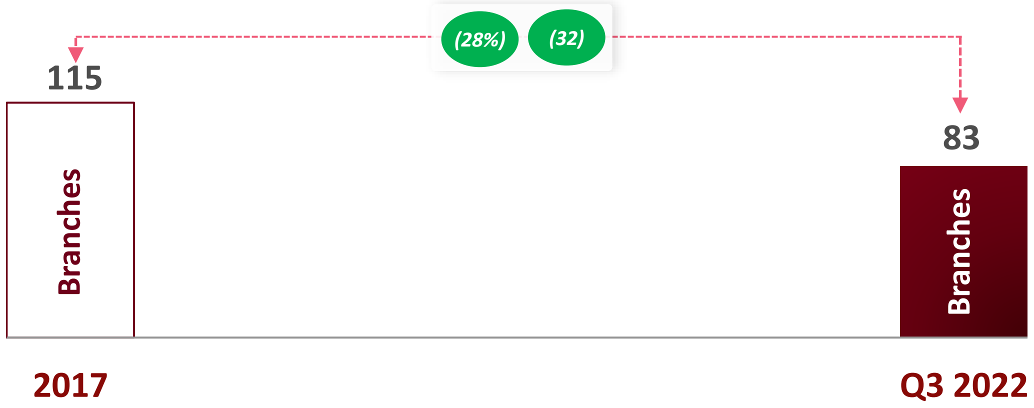


On Transformation: We have optimized our structural costs; re-designing the organization towards sales and service and significantly improving productivity

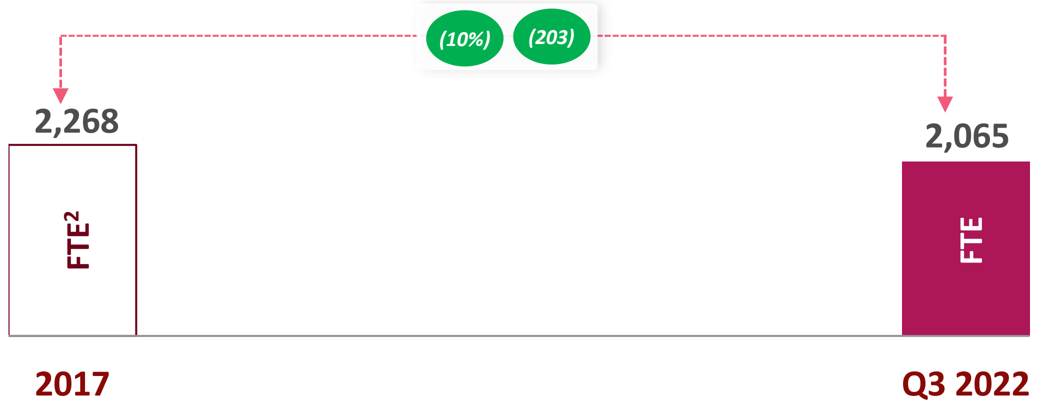
Transactions through our digital channels are on the rise…



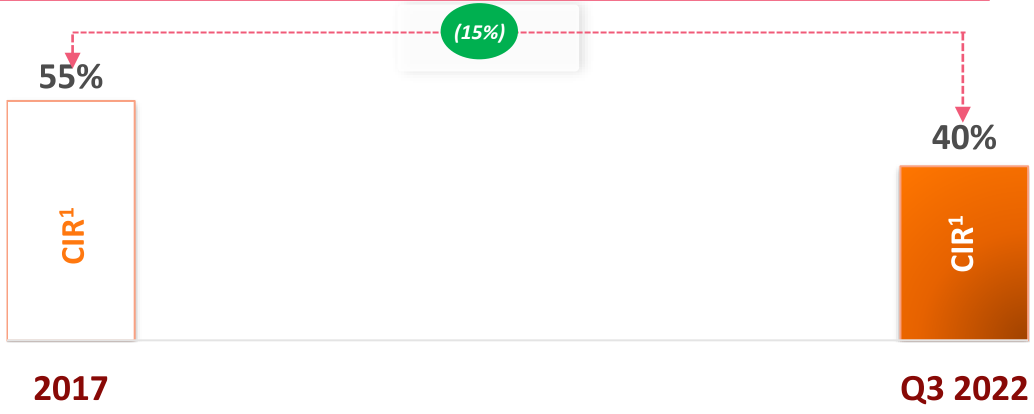
…enabling rationalization of our footprint (Branches)….



…and restructuring of our organization…



…reducing cost to income ratio to low-40%'s



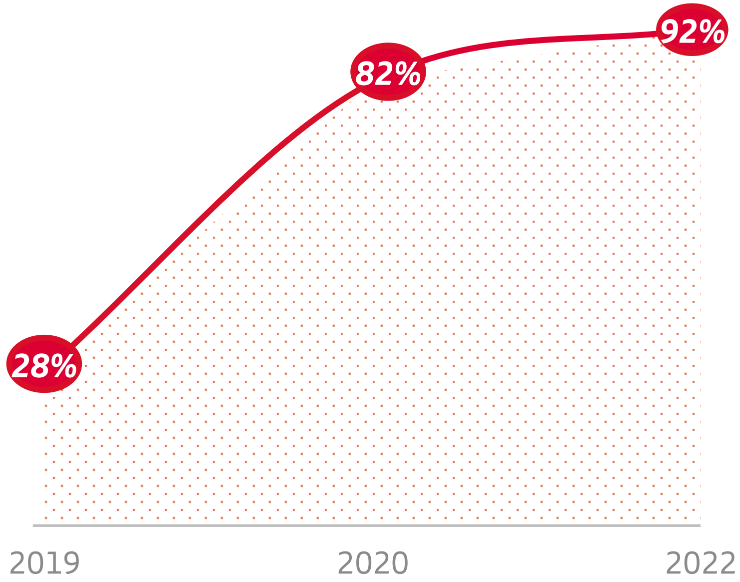
Notes
1. CIR - Cost to Income Ratio
2. FTE – Full Time Employee

On Transformation: The re-investment effort has been all rounded

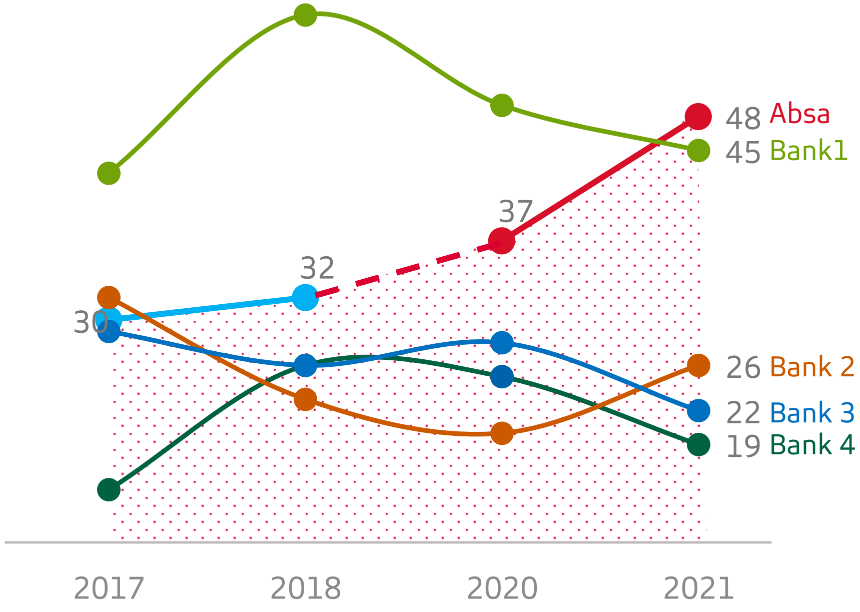
Corporate Level	Rebranding	Digitization & Automation of 52% of our processes	NextGen HR System	NextGen Finance System
Front-Office	New Relationships with Data Partners (Retail Financing FMCG Agiza)	Cash Deposit Machines	Various Enhancements (Digital Transformation)	Customer Experience Innovation (Chat Banking, NOVO FX, Digital Acc. Opening)
Back-Office	Robotics Process Automation	Unified Payments Platform	Virtual Banking Platform Migration	In-house Aggregator Platform

On Transformation: We have achieved significant milestones with our new brand since the re-brand in 2020

Brand Awareness score



Most Reputable Bank in Kenya[1]



Other scores

72% Colleague Brand Love score

86% Customer Experience Index score

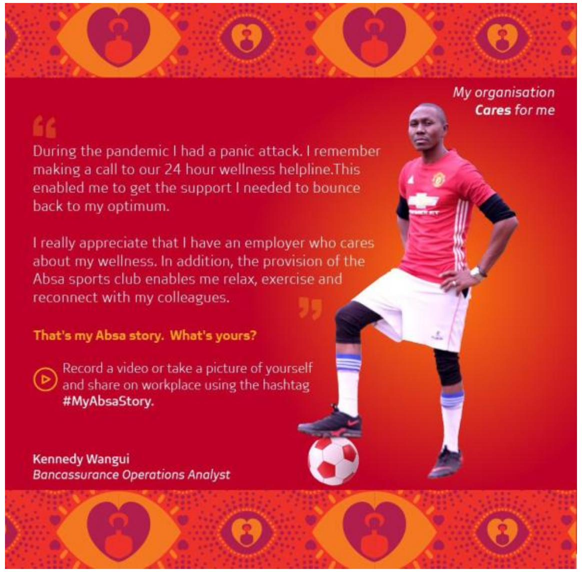
Notes

1. Reputation score sourced from the GlobeScan survey done in Q1 2022 focused on 2021 period

On Transformation: We are building Absa as a fun, vibrant and aspirational place to work and recently we have revamped our employee value proposition

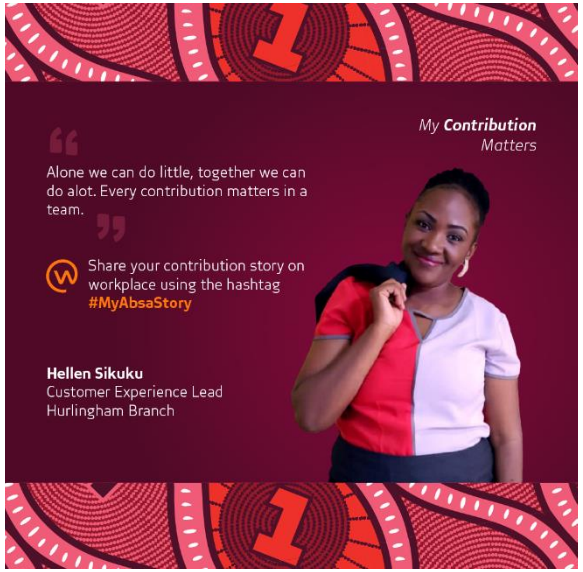
Revamped Employee Value Proposition

Care

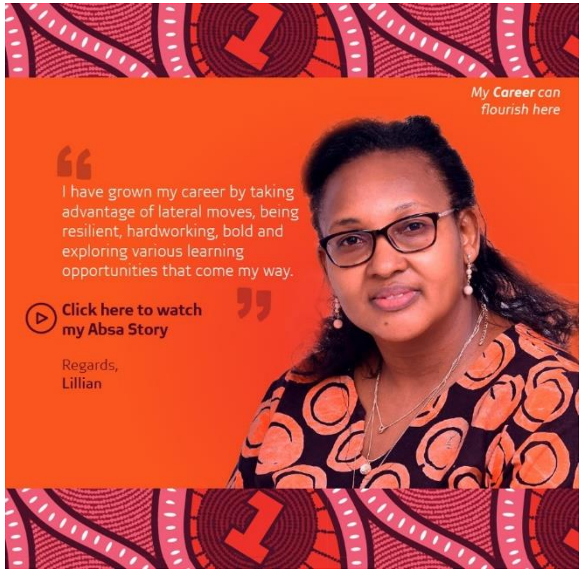


Culture

Contribution



Career Growth



On Transformation: For our customers, we have doubled down on small and medium-sized enterprises

We are driving continuous innovation in a bid to make it easier, faster and better for small and medium sized businesses in the market

We have toured ten counties over the last 30 days meeting with over 10,000 small and medium enterprises

On Transformation: Supporting our customers through economic recovery

COVID-19 restructured Loans

Outstanding restructured loans

5.9% Outstanding
or
KES 3.5 bn distributed in various sectors including manufacturing, hospitality and trade

50% Waiver on Mobile Loans

KES 1.8 bn
396k
Customers

KES 1.8bn of mobile loans previously written off and impaired through P&L are part of the Government effort of 50% discount. This will help collection efforts while helping our 396k customers to whom the relief is targeted, and of which have been delisted for six months

On Transformation: We continue to embed sustainability in our business

1 Environment

- 80+ Absa properties retrofitted, reducing energy and water consumption by 31% and 30% respectively
- IFC EDGE certification for five of our properties
- Continued implementing our tree planting program which targets 10m trees in 10 years
- On target to report our total carbon emissions by Q4 2022

2 Education and Skills Development

- 229,684 youth in Kenya impacted through Ready to Work
- 203 colleagues trained as Ready to Work champions and facilitators
- 574 bright and underprivileged students supported in 56 local universities
- Trained over 200 suppliers on sustainability

Our High Impact SDG's

3 Promoting a Just Society

- Committed to attain 30% diversity in our supply chain by 2025
- On track to have 50% colleague diversity in management across all levels by 2025
- 33 computer labs set up in schools across the country with 37 more to be completed by end of 2023
- Targeting to establish Absa Kenya Foundation in 2023

4 Inclusive Financing

- EUR 200,000 technical support grant directed to women-led businesses
- Empowering youth and start-ups through a USD 200,000 technical support grant in partnership with Africa Guarantee Fund
- Sustainable Financing Guarantee
- Partnered with IFC to review our portfolio with a target of 10% green financing by 2025

Awards and Recognitions in 2022: Our efforts are being recognized by external stakeholders

- Ranked **Most Reputable** Bank by GlobeScan[1]
- No 1. **Transformative Corporate Brand** impacting business
- Awarded **Top Employer 2022**
- Local currency **Corporate Bond Deal of the year** 2022
- No 1. as **Organization of the year** by Women on Board Network
- **CIO of the Year 2022** at the DX100 Symposium & Awards
- **Infrastructure sector award** at the DX100 Symposium & Awards
- **#1 in Asset Finance** by Think Business
- **#2 Best Bank in Tier 1** by Think Business
- **#2 Best in Corporate banking** by Think Business
- **#2 Best in Retail Banking** by Think Business
- **#2 Best in Agriculture and Livestock Financing** by Think Business
- **Top 100 Organizations in Africa** using technology to drive innovation and business value

Notes

1. GlobeScan survey done in Q1 2022 focused on 2021 period

2

Financial Performance

Moses Muthui–
Interim Chief Finance Officer

Q3 2022 Financial Results: Exceeding expectations on all six principal areas

	Income Statement (KES billions unless stated otherwise)	Q3 2022 Actual	Q3 2022 YoY	Vs Observed YTD Momentum Q1	Q2	Q3
01	**Growth Momentum**					
	Income	**33.5**	**22%**	**12%**	**17%**	**22%**
	Retail	**16.9**	16%	9%	14%	16%
	Business Bank	**6.3**	29%	15%	22%	29%
	Corporate Bank	**6.3**	33%	17%	24%	33%
	Global Markets	**3.4**	25%	18%	15%	25%
02	**Operating leverage**					
	Cost to Income Ratio	**40%**		45%	42%	40%
	JAWs	**12%**		2%	6%	12%
03	**Profitability**					
	PBT	**15.1**	28%	26%	15%	28%
	PAT	**10.7**	30%	22%	13%	30%
	Return on Equity	**24%**		20%	23%	24%
04	**Balance Sheet production**					
	Customer Assets	**289.4**	26%	11%	19%	26%
	Customer Liabilities	**281.1**	5%	5%	7%	5%
	Total Capital Ratio	**16.2%**		17.0%	16.4%	16.2%
05	**Portfolio Quality**	Current Year	Prior Year			
	Impairment	**5.0**	3.4	1.2	3.0	5.0
	Gross NPL Ratio	**6.9%**	8.6%	7.4%	7.0%	6.9%
	LLR	**2.3%**	2.2%	2.0%	2.3%	2.3%
06	**Valuations**	Current Year	Prior Year			
	Book Value Per Share(KES)	**11.45**	10.55	10.9	10.4	11.1
	Price/ Book Ratio	**1.07**	1.08	1.14	1.01	1.07

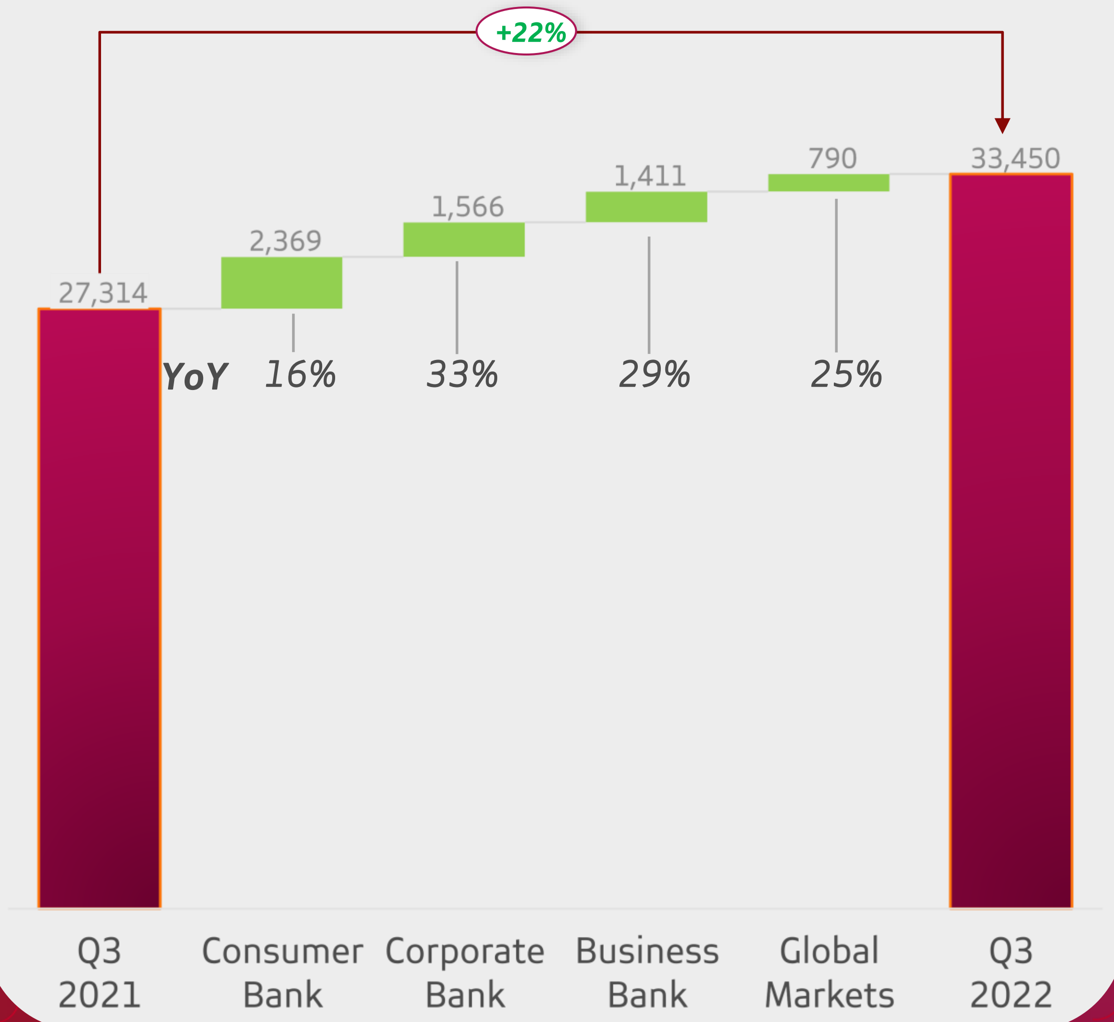
Highlights

- Sustained revenue growth
- Outperformance on efficiency ratio with double-digit JAWS
- ROE significantly above cost of equity
- Accelerated balance sheet growth
- Sustained portfolio quality, better than observed industry performance
- Progressive valuations and stock price performance

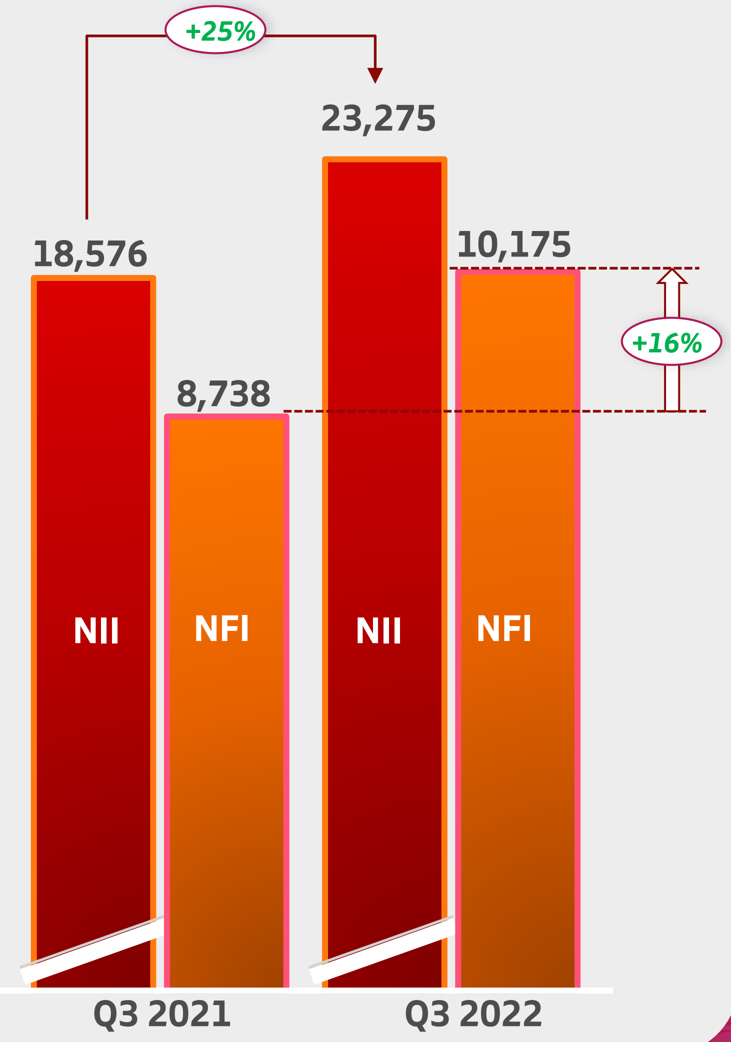
1 Growth momentum: Accelerated revenue growth across all businesses

Revenue Performance

(KES millions unless stated otherwise)



Revenue diversification[1]



Highlights

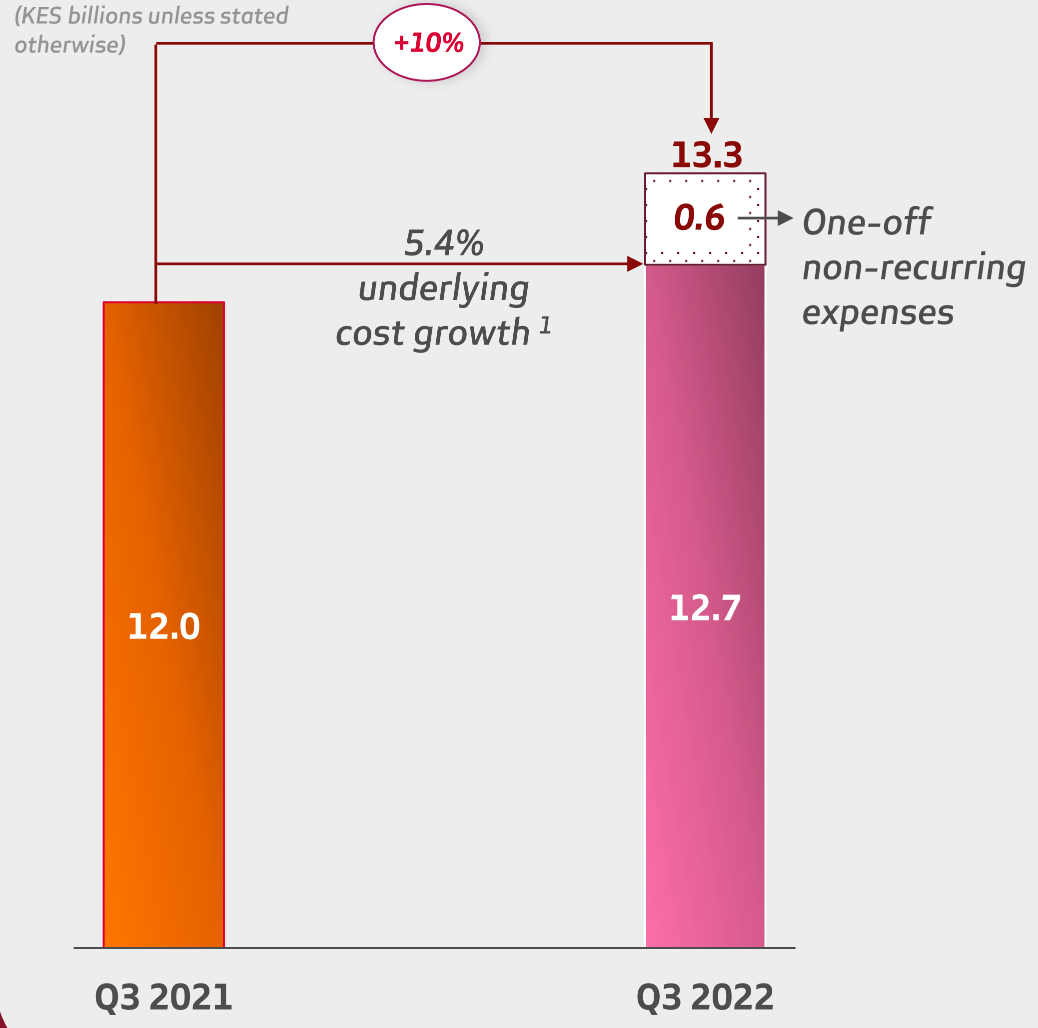
- All businesses are delivering double digits in revenue growth
- New businesses are accelerating Non-Funded Income growth
- NII up 25% driven by both rate and volume improvements

Notes

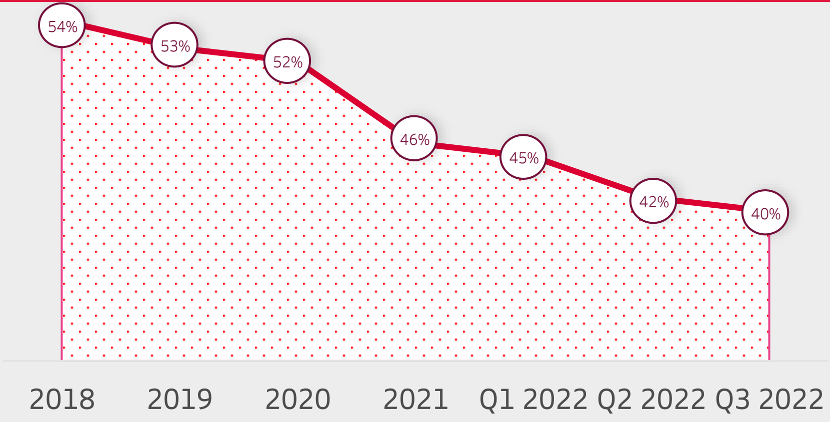
1. Total Revenue of KES 33.5 billion split at 51% retail and 49% wholesale

2 Operating Leverage: Despite 10% increase in costs towards investments, our efficiency level has improved to 40%; with double-digit JAWS

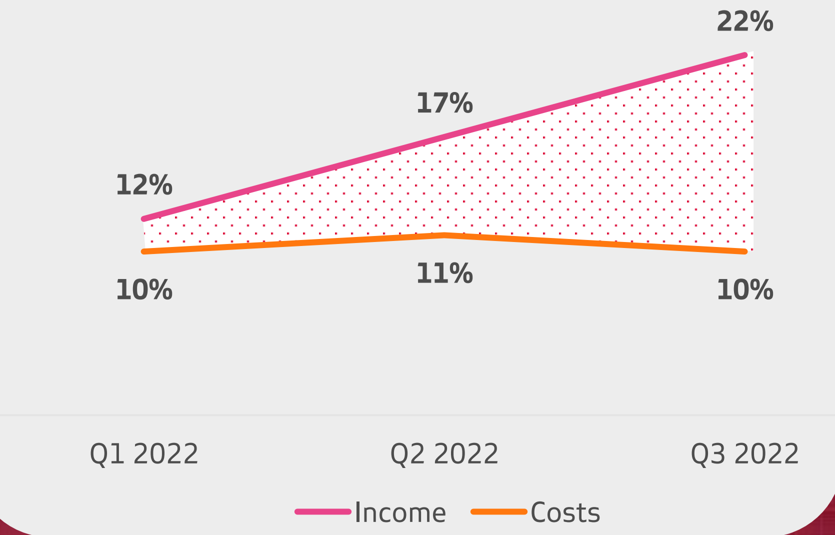
Cost Outlay



Efficiency Ratio (Cost to Income at 40%)



Double digit JAWS as at Q3 2022



Highlights

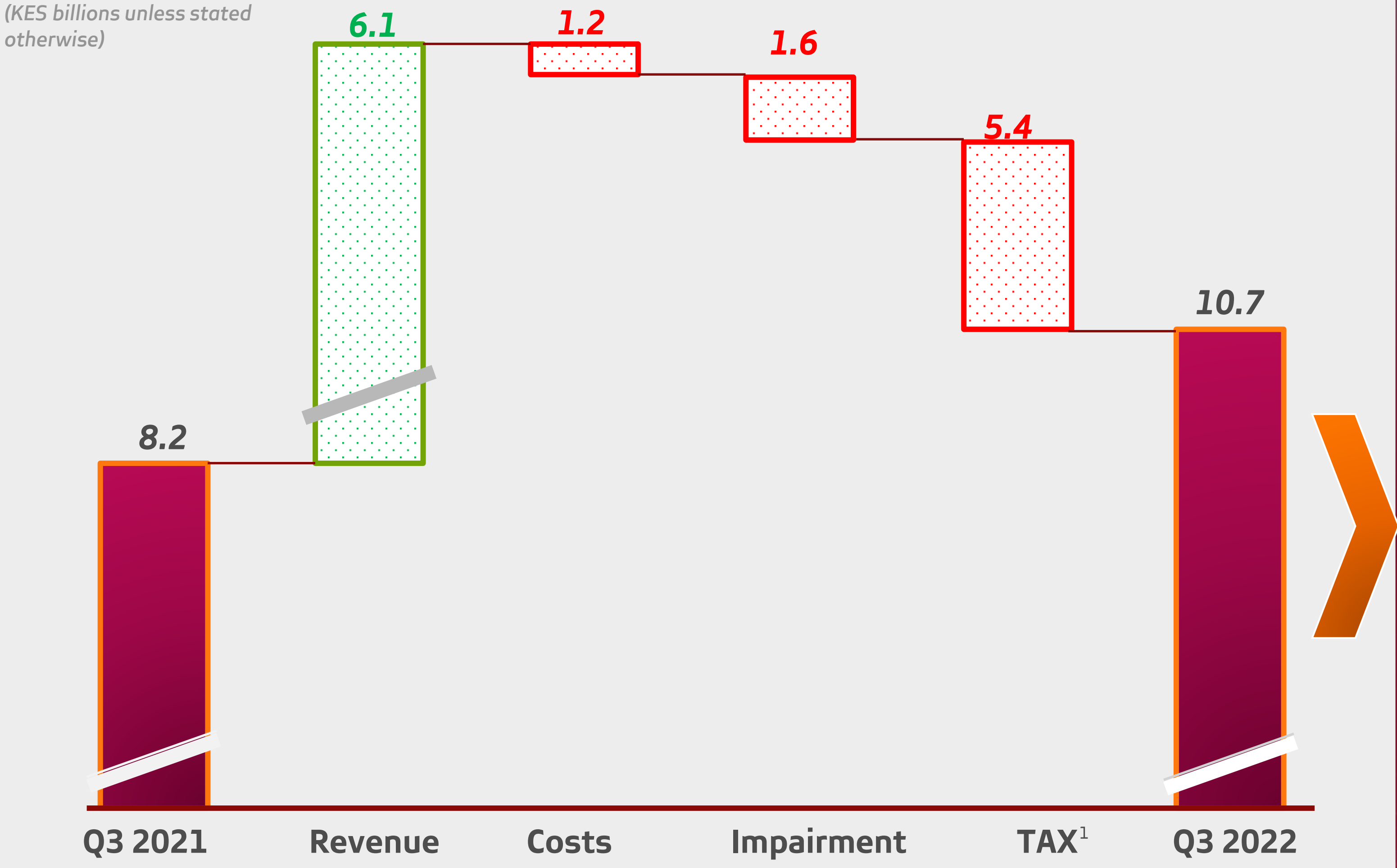
- Costs increase driven by strategic investments
- Efficiency level has improved to 40% and gives us capacity to re-invest further to support growth
- Despite the cost increase, we are registering double digit JAWS

Notes

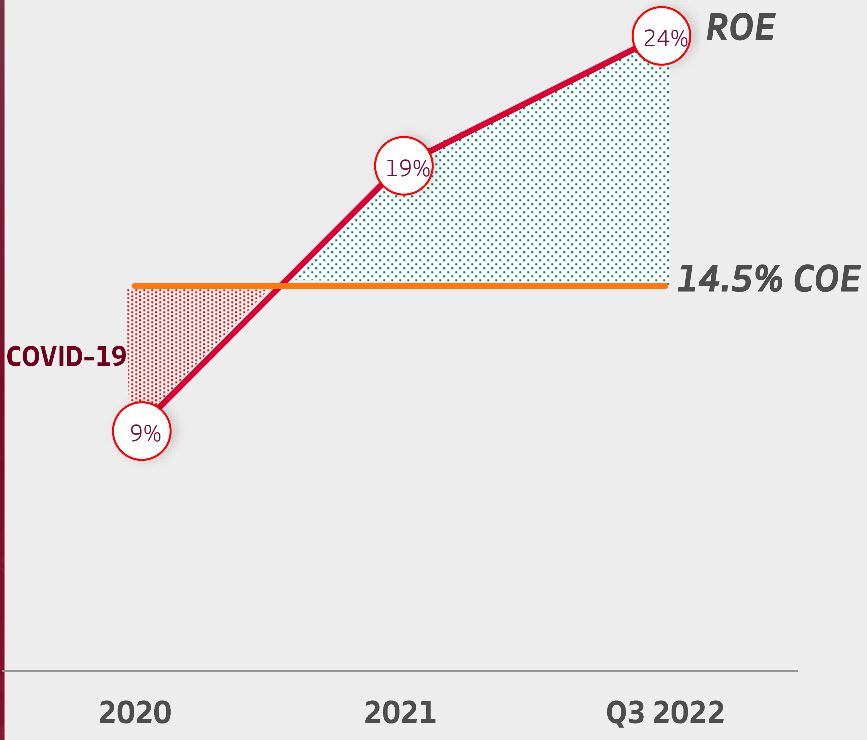
1. Cost increase of 5.4% (within inflation) equating to an increment of 9% staff cost increase, a reduction of 7% in rental and 5% drop in depreciation costs

3 Profitability: Topline-driven-PAT growth of 30%, supporting returns accretion

Profit After Tax driven by topline performance



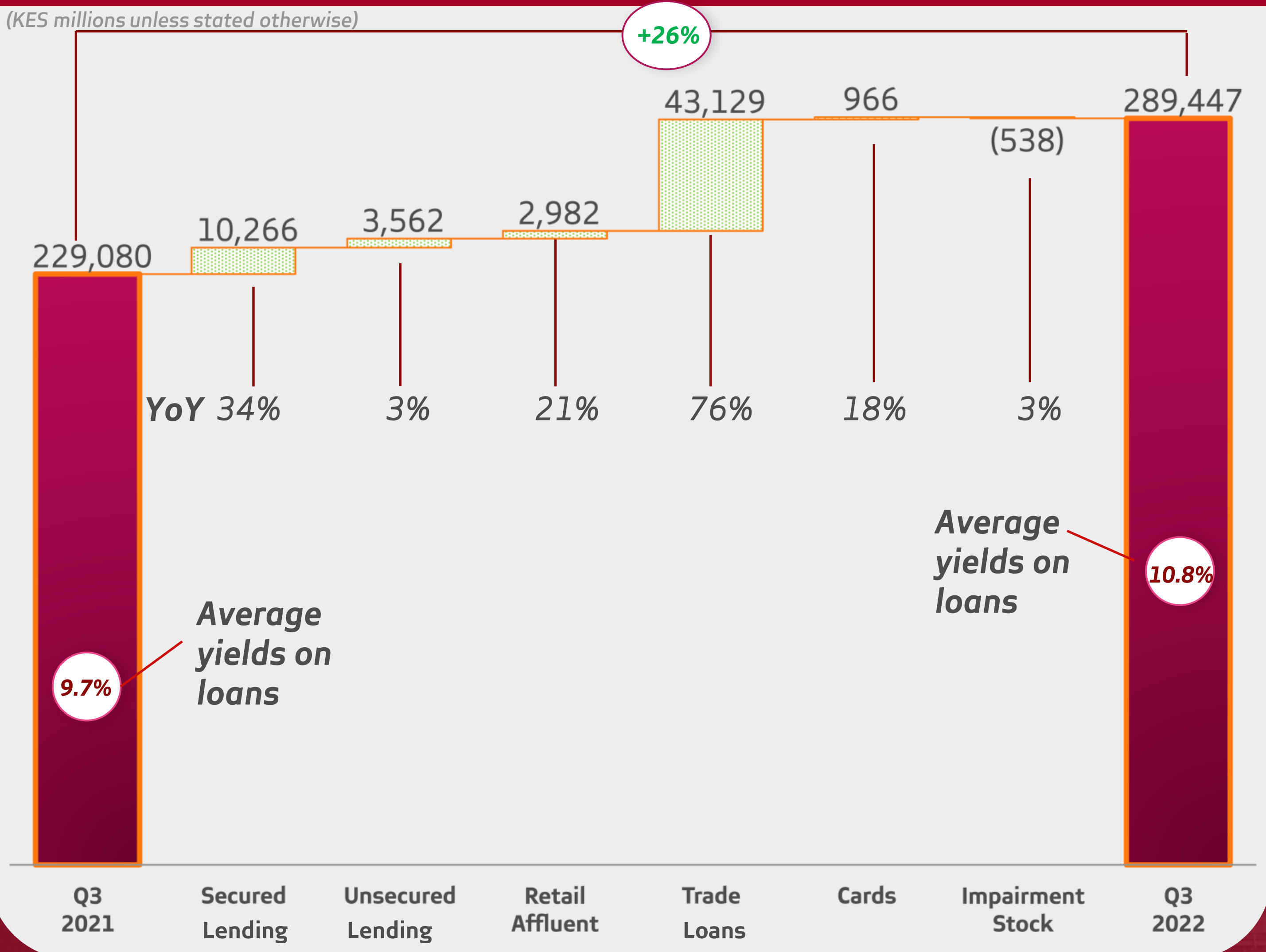
Supporting Return On Equity accretion



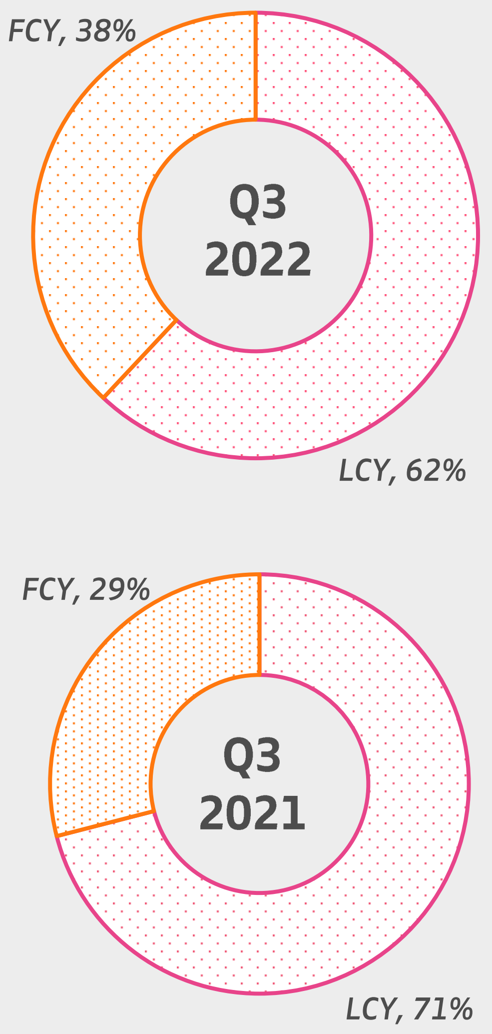
Notes
1. Expected Tax Rate of 29% in-line with previous years

4 Balance Sheet Production: Accelerated growth across focus segments and products

Customer Loans and Advances



Portfolio split by currency



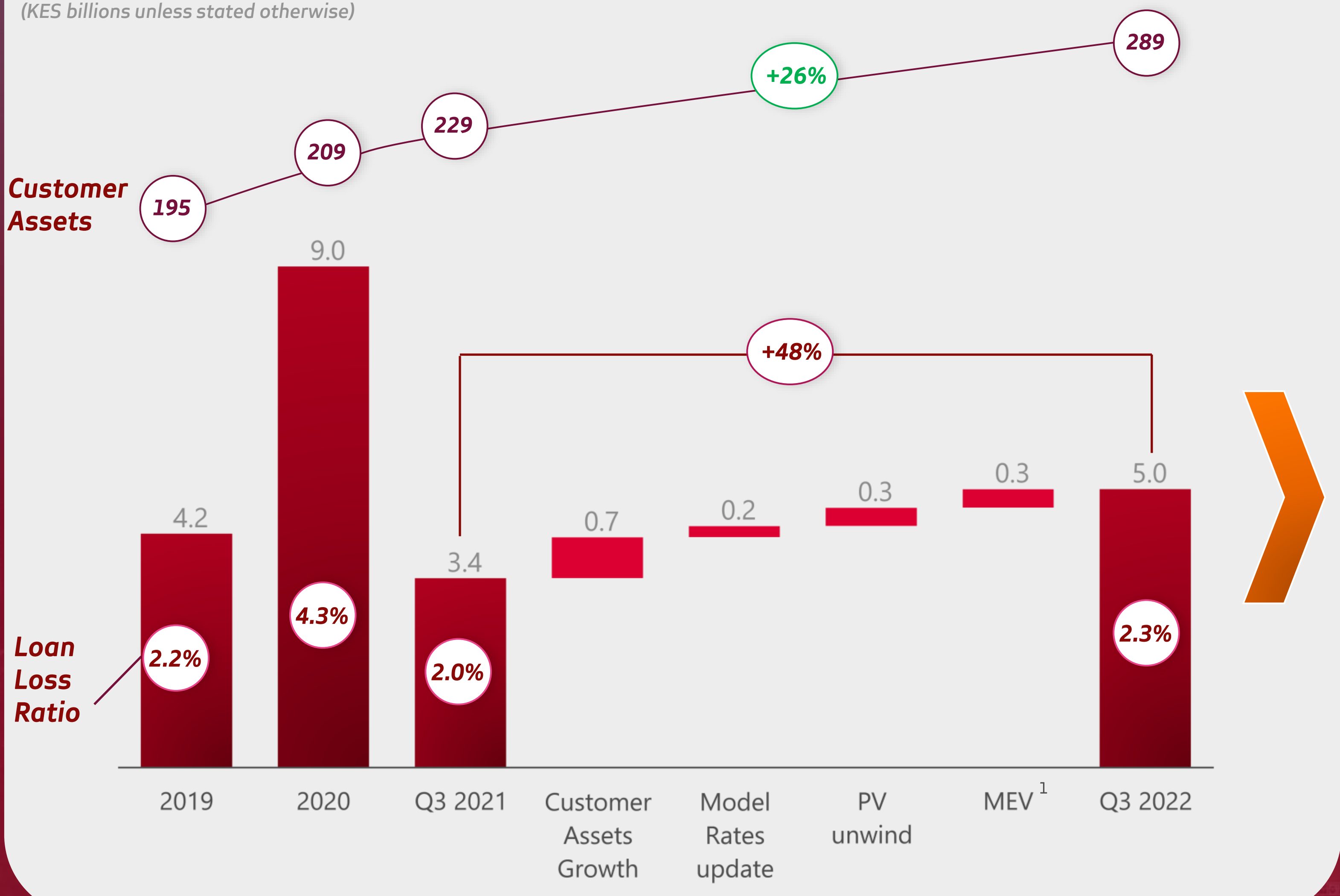
Highlights

- Growth driven by secured lending and trade loans in corporate and business bank
- We have diversified our growth sources towards secured lending and trade

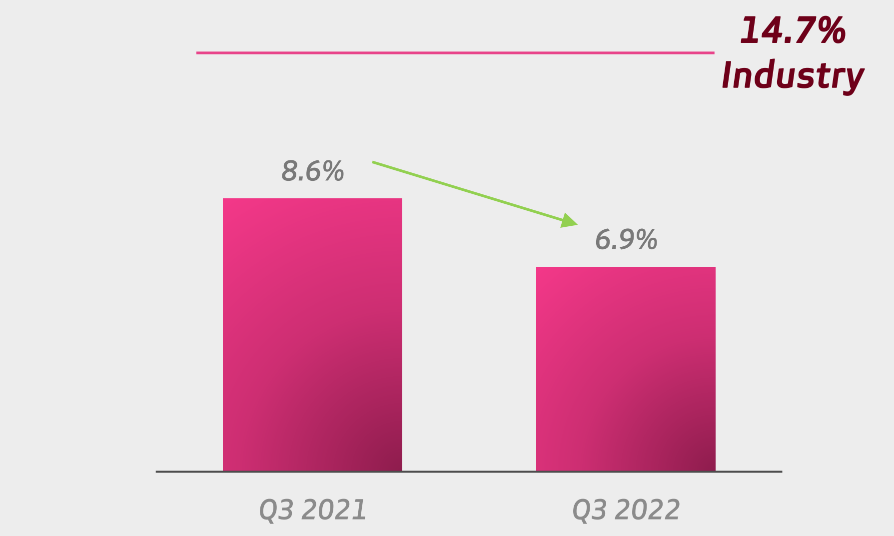
5 Portfolio Quality: Improved portfolio quality with adequate coverage

Impairment actions relative to growth

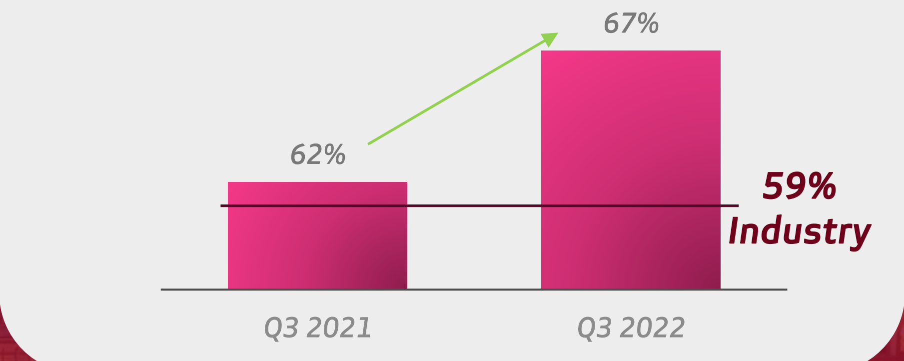
(KES billions unless stated otherwise)



Gross NPLs Ratio



Coverage Ratio

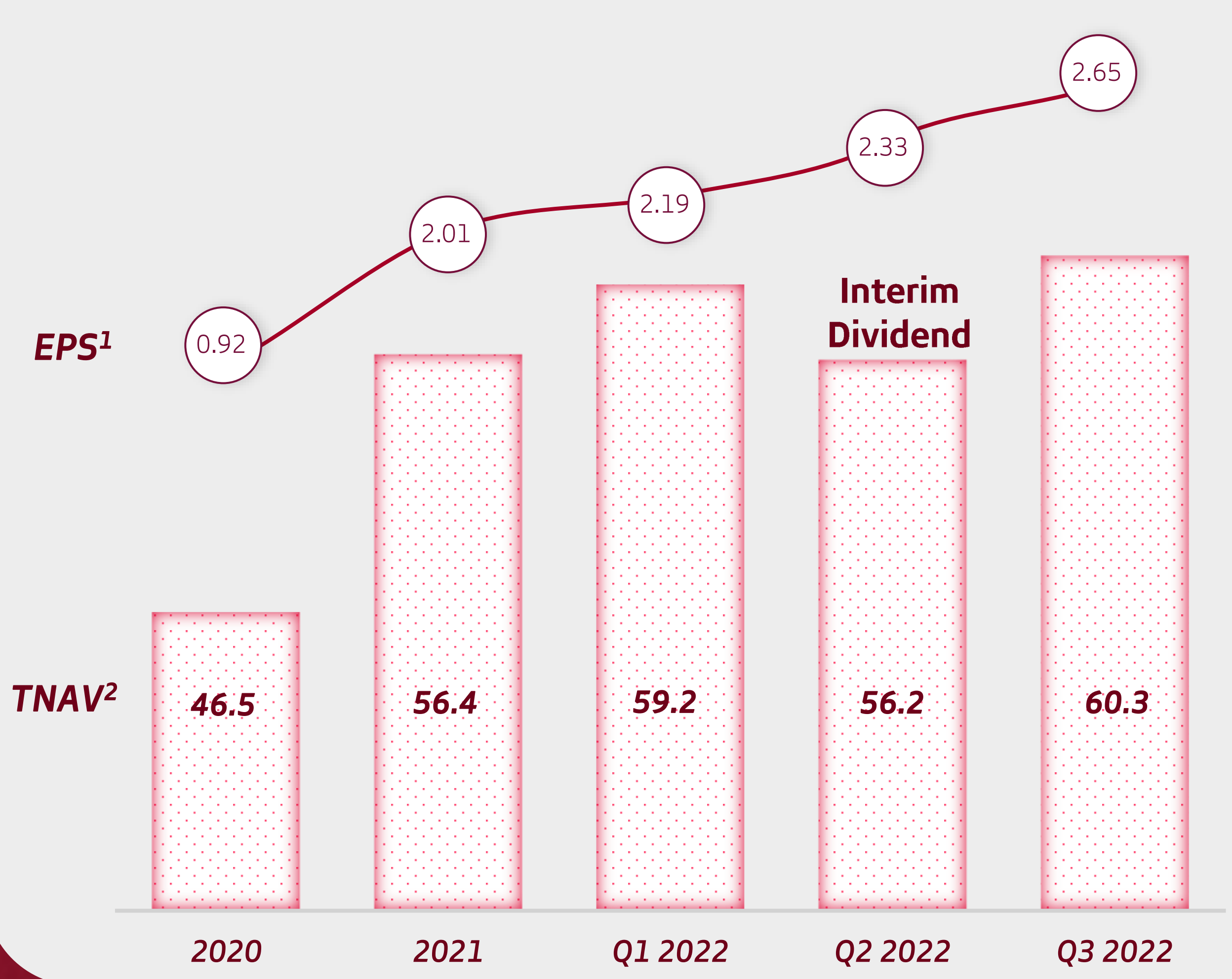


Notes

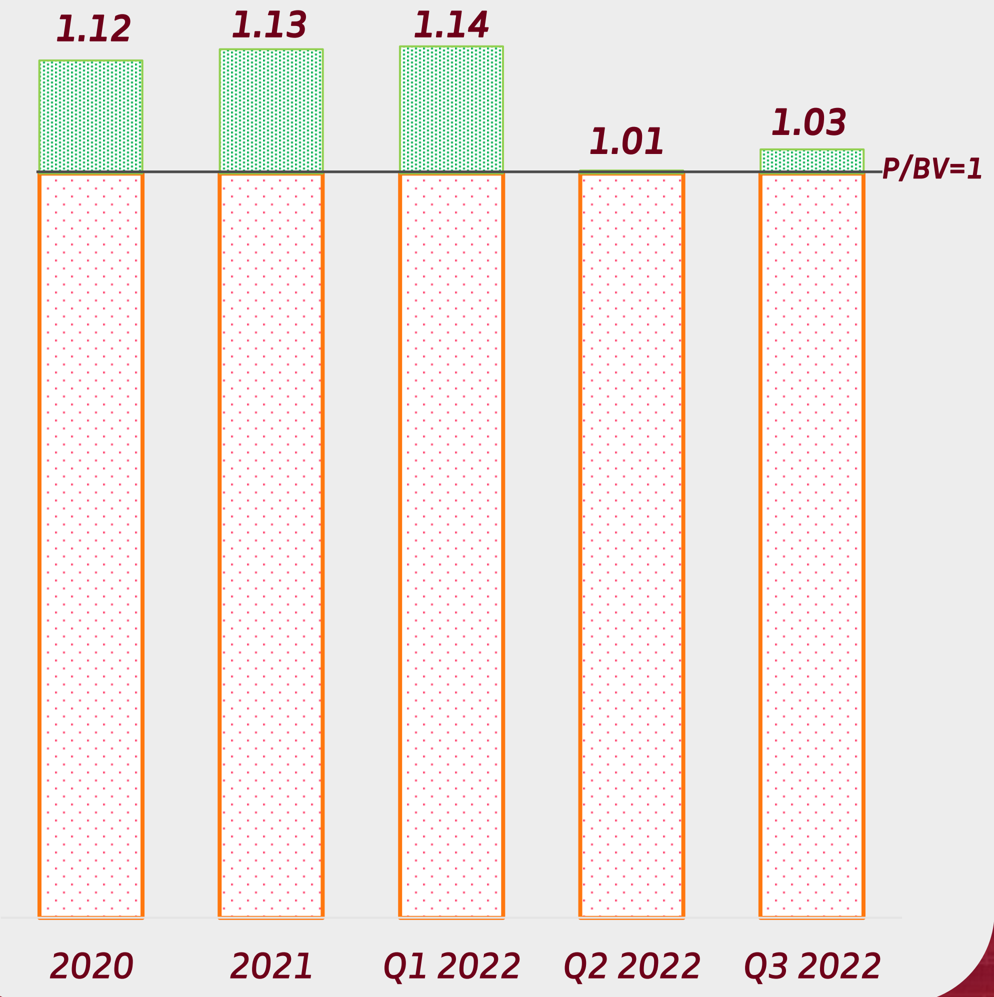
1. MEV – Macro Economic Variables

6 Valuations: Sequential increase in underlying valuations supporting the investment case

Sequential in franchise value

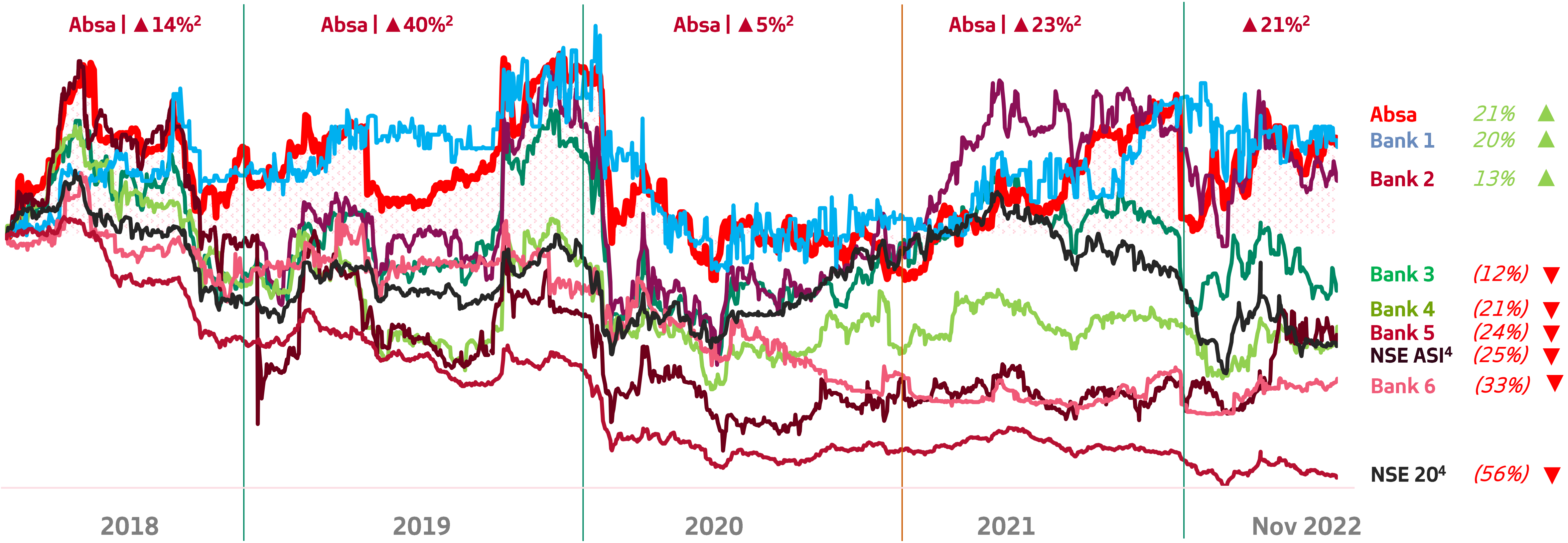


Supporting Premium valuation



Notes
1. EPS (Earning Per Share) has been annualized for the quarterly results
2. TNAV - Tangible Net Asset Value

6 Valuations: The Absa stock[1] continues to outperform key indices, supported by sequential increase in the underlying valuation



	2018	2019	2020	2021	Q3 2022
Absa Stock Price[2]	*#1*	*#1*	*#2*	*#2*	*#1*
Dividend Yield	*#2*	*#1*	*-*	*#2*	*Top Quartile*
Absa ROE[3]	*17%*	*18%*	*9%*	*19%*	*24%*
Industry ROE[3]	*16%*	*15%*	*11%*	*16%*	*20%*

Notes
1. Stock price performance as at Friday the 23rd November 2022
2. The stock price performance baseline is from January 1st 2018, the commencement of the Growth, Transformation and Returns Strategy
3. ROE – Return on Equity; Absa ROE as at Q3 2022; Industry ROE annualized as at H1 2022
4. NSE ASI – Nairobi Stock Exchange All Share Index; NSE 20 – Nairobi Stock Exchange top 20 performing companies

Financial Performance in summary

Our business is achieving record growth rates

While sustaining portfolio quality (at levels better than observed industry levels) and carrying forward looking provisions to help us in the coming quarters

And creating capacity to invest for the future and confidence to continue generating upside on topline

With Return on Equity at significant levels above Cost of Equity

3

In Summary

Yusuf Omari–
Interim Chief Executive Officer

Accelerated business performance

Record financial performance

Growth momentum on our side

New businesses beginning to contribute towards growth

Recap

Gives us confidence to continue out-performing as we conclude Q4 2022

Balance sheet momentum continues

Revenue growth sustained

Returns to continue above COE

The Next Horizon: We are in the process of developing a refreshed strategy for Horizon 3 Strategy (2023 – 2028), to be shared early 2023

Strategic Horizons:

Horizon 1 (2013 – 2017): *Correcting deceleration*

Horizon 2 (2018 – 2022): *Growth Transformation Returns*

Horizon 3 (2023 – 2028): *Outperform*

Refreshed strategy anchored on:

- *Modernizing our business*
- *Expanding reach in Retail and Business bank*
- *Driving primacy in Corporate and Investment Banking*

Disclaimer

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as "anticipates", "estimates", "expects", "projects", "believes", "intends", "plans", "may", "will" and "should" and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

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